ANNUAL OPERATING BUDGET

Elmhurst Commons | Boise, ID

Property	Elmhurst Commons
Fiscal Year	2024
Submitted By	Orion Commercial Management
Submitted	April 23, 2025

Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$611,727	$595,650	$632,067	$20,340	3.3%	$1,663.34
5010 Loss to Lease	$609,517	$600,981	$636,098	$26,582	4.4%	$1,673.94
5020 Vacancy Loss	$502,856	$485,174	$498,001	-$4,854	-1.0%	$1,310.53
5030 Concessions	$795,203	$849,251	$854,214	$59,011	7.4%	$2,247.93
5040 Bad Debt	$366,754	$385,817	$407,925	$41,170	11.2%	$1,073.49
5050 Late Fees	$574,363	$618,848	$652,371	$78,007	13.6%	$1,716.77
5060 Utility Reimbursements	$88,249	$91,737	$93,502	$5,252	6.0%	$246.06
5070 Parking Income	$299,319	$323,077	$323,084	$23,765	7.9%	$850.22
5080 Application Fees	$790,927	$829,947	$871,793	$80,865	10.2%	$2,294.19
5090 Pet Rent	$379,921	$364,026	$375,547	-$4,374	-1.2%	$988.28
5100 Laundry Income	$117,445	$124,352	$128,463	$11,018	9.4%	$338.06
5110 Cable/Internet Revenue	$270,592	$275,879	$284,011	$13,419	5.0%	$747.40
5120 CAM Reimbursements	$700,921	$693,196	$738,171	$37,250	5.3%	$1,942.56
5130 Tax Reimbursements	$152,195	$143,466	$143,888	-$8,307	-5.5%	$378.65
5140 Insurance Reimbursements	$372,698	$363,454	$375,973	$3,275	0.9%	$989.40
5150 Percentage Rent	$713,948	$731,240	$768,769	$54,821	7.7%	$2,023.08
5160 Misc. Income	$575,928	$577,494	$610,838	$34,910	6.1%	$1,607.47
5170 Payroll - Management	$56,367	$60,187	$62,632	$6,265	11.1%	$164.82
5180 Payroll - Leasing	$121,091	$124,201	$124,818	$3,727	3.1%	$328.47
5190 Payroll - Maintenance	$735,567	$731,766	$775,761	$40,195	5.5%	$2,041.48
5200 Payroll Taxes & Benefits	$76,840	$71,268	$75,917	-$923	-1.2%	$199.78
5210 Repairs - Plumbing	$183,819	$186,398	$194,007	$10,188	5.5%	$510.55

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$818,656	$781,269	$813,773	-$4,883	-0.6%	$2,141.51
5430 Legal & Professional	$572,267	$582,433	$620,885	$48,618	8.5%	$1,633.91
5440 Accounting & Audit	$698,787	$740,693	$753,424	$54,637	7.8%	$1,982.70
5450 Licenses & Permits	$410,165	$426,045	$451,034	$40,869	10.0%	$1,186.93
5460 Management Fee	$601,613	$643,122	$652,718	$51,106	8.5%	$1,717.68
5470 Property Insurance	$362,453	$371,658	$381,402	$18,949	5.2%	$1,003.69
5480 Real Estate Taxes	$423,879	$403,041	$417,911	-$5,968	-1.4%	$1,099.77
5490 Asset Management Fee	$450,078	$454,451	$465,442	$15,363	3.4%	$1,224.85
5500 Replacement Reserves	$119,276	$116,491	$123,174	$3,898	3.3%	$324.14
5510 Roof Repairs	$561,379	$542,915	$549,630	-$11,749	-2.1%	$1,446.39
5520 Parking Lot Repairs	$830,719	$830,082	$864,252	$33,534	4.0%	$2,274.35
5530 Signage	$265,143	$279,585	$281,381	$16,238	6.1%	$740.48
5540 Tenant Improvements	$330,201	$354,499	$357,419	$27,217	8.2%	$940.58
5550 Leasing Commissions	$717,387	$698,837	$743,747	$26,359	3.7%	$1,957.23
5000 Gross Potential Rent	$164,015	$173,796	$181,087	$17,073	10.4%	$476.55
5010 Loss to Lease	$362,682	$370,580	$394,008	$31,326	8.6%	$1,036.86
5020 Vacancy Loss	$601,065	$553,943	$579,384	-$21,681	-3.6%	$1,524.69
5030 Concessions	$749,004	$714,208	$763,918	$14,914	2.0%	$2,010.31
5040 Bad Debt	$81,181	$78,080	$83,272	$2,092	2.6%	$219.14
5050 Late Fees	$162,188	$171,081	$179,597	$17,409	10.7%	$472.62
5060 Utility Reimbursements	$773,047	$803,084	$803,917	$30,870	4.0%	$2,115.57
5070 Parking Income	$778,936	$769,389	$810,012	$31,076	4.0%	$2,131.61
5080 Application Fees	$74,738	$79,841	$85,134	$10,396	13.9%	$224.04
5090 Pet Rent	$293,581	$283,428	$293,879	$298	0.1%	$773.37
5100 Laundry Income	$581,519	$581,795	$589,992	$8,473	1.5%	$1,552.61
5110 Cable/Internet Revenue	$586,319	$574,220	$609,508	$23,189	4.0%	$1,603.97
5120 CAM Reimbursements	$147,457	$137,771	$141,880	-$5,577	-3.8%	$373.37
5130 Tax Reimbursements	$589,096	$597,449	$604,131	$15,035	2.6%	$1,589.82
5140 Insurance Reimbursements	$439,587	$459,759	$481,115	$41,528	9.4%	$1,266.09
5150 Percentage Rent	$723,140	$698,411	$746,163	$23,022	3.2%	$1,963.59
5160 Misc. Income	$554,896	$567,020	$575,115	$20,219	3.6%	$1,513.46
5170 Payroll - Management	$724,441	$670,168	$710,022	-$14,419	-2.0%	$1,868.48
5180 Payroll - Leasing	$719,473	$710,143	$723,822	$4,349	0.6%	$1,904.79
5190 Payroll - Maintenance	$595,256	$588,341	$600,246	$4,990	0.8%	$1,579.60
5200 Payroll Taxes & Benefits	$835,911	$870,813	$902,500	$66,590	8.0%	$2,375.00
5210 Repairs - Plumbing	$313,435	$295,712	$307,124	-$6,312	-2.0%	$808.22
5220 Repairs - HVAC	$122,131	$121,051	$123,711	$1,580	1.3%	$325.56
5230 Repairs - Electrical	$552,547	$533,234	$533,834	-$18,713	-3.4%	$1,404.83
5240 Repairs - Appliances	$411,873	$387,773	$406,367	-$5,506	-1.3%	$1,069.39
5250 Painting & Decorating	$609,217	$581,570	$611,608	$2,391	0.4%	$1,609.50
5260 Flooring	$834,373	$799,202	$824,884	-$9,488	-1.1%	$2,170.75
5270 Make-Ready / Turnover	$576,339	$565,286	$579,194	$2,854	0.5%	$1,524.19

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Financial Analysis

Operating expenses totaled $146,000 or approximately 34.57 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.48x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. Average in-place rent is $2,106 per month against an average unit size of 823 square feet.

Effective gross income for the trailing period was $337,000, representing a 6.5% increase over the prior year. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.55% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. Service requests are tracked through a work-order system with an average completion time of 33 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Resident turnover has averaged 10.7% annually with renewal retention above 96.4%.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 31 hours. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Collections for the period were 89.1% of billed charges, with bad debt of 4.5% of gross potential income.

Income and Expense Review

The going-in capitalization rate of 5.59% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period.

The going-in capitalization rate of 5.28% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $267,000, representing a 11.8% increase over the prior year. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 3 hours.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 93.9% of billed charges, with bad debt of 3.3% of gross potential income. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members.

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5240 Repairs - Appliances	$618,729	$596,820	$604,071	-$14,658	-2.4%	$1,589.66
5250 Painting & Decorating	$603,894	$563,970	$596,328	-$7,566	-1.3%	$1,569.28
5260 Flooring	$374,183	$362,459	$376,553	$2,370	0.6%	$990.93
5270 Make-Ready / Turnover	$150,509	$154,918	$156,949	$6,440	4.3%	$413.02
5280 Landscaping Contract	$491,411	$526,534	$563,372	$71,960	14.6%	$1,482.56
5290 Snow Removal	$587,325	$569,146	$585,110	-$2,216	-0.4%	$1,539.76
5300 Janitorial	$657,461	$693,232	$726,445	$68,984	10.5%	$1,911.70
5310 Pest Control	$614,274	$616,115	$641,941	$27,667	4.5%	$1,689.32
5320 Trash Removal	$323,942	$309,967	$328,562	$4,620	1.4%	$864.64
5330 Elevator Contract	$338,421	$314,428	$321,848	-$16,573	-4.9%	$846.97
5340 Fire & Life Safety	$65,109	$67,330	$69,455	$4,346	6.7%	$182.78
5350 Security	$517,925	$549,114	$570,371	$52,446	10.1%	$1,500.98
5360 Electricity - Common	$286,783	$267,228	$280,996	-$5,787	-2.0%	$739.46
5370 Gas - Common	$393,860	$384,974	$411,811	$17,951	4.6%	$1,083.71
5380 Water & Sewer	$490,937	$528,589	$557,947	$67,010	13.6%	$1,468.28
5390 Telephone/Internet	$82,365	$84,617	$84,661	$2,296	2.8%	$222.79
5400 Advertising	$143,983	$144,813	$154,579	$10,596	7.4%	$406.79
5410 Resident Events	$483,443	$463,180	$463,735	-$19,708	-4.1%	$1,220.36
5420 Office Supplies	$660,983	$633,873	$647,148	-$13,835	-2.1%	$1,703.02
5430 Legal & Professional	$262,721	$257,949	$262,628	-$93	-0.0%	$691.13
5440 Accounting & Audit	$441,376	$408,757	$418,798	-$22,578	-5.1%	$1,102.10
5450 Licenses & Permits	$698,725	$749,716	$769,237	$70,512	10.1%	$2,024.31
5460 Management Fee	$517,271	$555,551	$579,977	$62,706	12.1%	$1,526.25
5470 Property Insurance	$443,287	$442,357	$470,851	$27,564	6.2%	$1,239.08
5480 Real Estate Taxes	$571,556	$568,982	$582,578	$11,022	1.9%	$1,533.10
5490 Asset Management Fee	$217,768	$221,421	$230,312	$12,544	5.8%	$606.08
5500 Replacement Reserves	$577,974	$532,284	$568,461	-$9,513	-1.6%	$1,495.95
5510 Roof Repairs	$628,652	$669,512	$696,345	$67,694	10.8%	$1,832.49
5520 Parking Lot Repairs	$205,134	$221,200	$229,367	$24,233	11.8%	$603.60
5530 Signage	$598,733	$626,393	$662,878	$64,145	10.7%	$1,744.41
5540 Tenant Improvements	$46,062	$43,087	$44,036	-$2,026	-4.4%	$115.88
5550 Leasing Commissions	$361,438	$368,865	$386,434	$24,995	6.9%	$1,016.93
5000 Gross Potential Rent	$574,109	$614,470	$629,104	$54,995	9.6%	$1,655.54
5010 Loss to Lease	$506,833	$509,245	$523,234	$16,401	3.2%	$1,376.93
5020 Vacancy Loss	$639,111	$629,413	$653,671	$14,560	2.3%	$1,720.19
5030 Concessions	$93,710	$88,351	$89,527	-$4,183	-4.5%	$235.60
5040 Bad Debt	$563,053	$601,234	$617,646	$54,593	9.7%	$1,625.38
5050 Late Fees	$187,507	$194,992	$198,723	$11,217	6.0%	$522.96
5060 Utility Reimbursements	$356,372	$367,776	$371,152	$14,780	4.1%	$976.72
5070 Parking Income	$61,564	$57,073	$60,833	-$731	-1.2%	$160.09

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Operating Performance

Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Effective gross income for the trailing period was $362,000, representing a 2.4% increase over the prior year. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 5.78x on a trailing basis against a covenant minimum of 1.20x.

Resident turnover has averaged 10.8% annually with renewal retention above 88.6%. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $2,106 per month against an average unit size of 823 square feet.

Management Commentary

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Resident turnover has averaged 5.2% annually with renewal retention above 89.1%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 16 additional team members.

Average in-place rent is $2,106 per month against an average unit size of 823 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Collections for the period were 94.5% of billed charges, with bad debt of 7.2% of gross potential income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Income and Expense Review

Debt service coverage ratio was 6.32x on a trailing basis against a covenant minimum of 1.20x. Resident turnover has averaged 6.5% annually with renewal retention above 96.5%. Effective gross income for the trailing period was $188,000, representing a 8.6% increase over the prior year. The going-in capitalization rate of 6.34% reflects the in-place income and the stabilized occupancy assumption.

Operating expenses totaled $84,000 or approximately 14.04 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 8.15x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. The going-in capitalization rate of 5.17% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 8 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Service requests are tracked through a work-order system with an average completion time of 8 hours. Collections for the period were 95.8% of billed charges, with bad debt of 6.1% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day.

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5110 Cable/Internet Revenue	$612,229	$660,935	$675,173	$62,944	10.3%	$1,776.77
5120 CAM Reimbursements	$833,553	$836,614	$865,126	$31,573	3.8%	$2,276.65
5130 Tax Reimbursements	$825,566	$765,182	$766,985	-$58,581	-7.1%	$2,018.38
5140 Insurance Reimbursements	$735,676	$717,429	$748,125	$12,449	1.7%	$1,968.75
5150 Percentage Rent	$757,874	$807,353	$857,789	$99,915	13.2%	$2,257.34
5160 Misc. Income	$185,773	$189,738	$202,735	$16,962	9.1%	$533.51
5170 Payroll - Management	$699,191	$704,071	$719,986	$20,795	3.0%	$1,894.70
5180 Payroll - Leasing	$590,613	$574,436	$605,345	$14,732	2.5%	$1,593.01
5190 Payroll - Maintenance	$500,638	$530,654	$567,146	$66,508	13.3%	$1,492.49
5200 Payroll Taxes & Benefits	$212,251	$208,676	$218,890	$6,638	3.1%	$576.03
5210 Repairs - Plumbing	$558,058	$565,282	$578,455	$20,397	3.7%	$1,522.25
5220 Repairs - HVAC	$520,224	$502,454	$531,094	$10,870	2.1%	$1,397.62
5230 Repairs - Electrical	$573,699	$607,780	$625,994	$52,295	9.1%	$1,647.35
5240 Repairs - Appliances	$629,115	$606,845	$613,521	-$15,593	-2.5%	$1,614.53
5250 Painting & Decorating	$502,666	$495,317	$496,156	-$6,510	-1.3%	$1,305.67
5260 Flooring	$263,497	$258,249	$258,415	-$5,082	-1.9%	$680.04
5270 Make-Ready / Turnover	$571,237	$569,901	$582,739	$11,501	2.0%	$1,533.52
5280 Landscaping Contract	$485,853	$454,929	$465,375	-$20,478	-4.2%	$1,224.67
5290 Snow Removal	$794,594	$778,289	$828,557	$33,962	4.3%	$2,180.41
5300 Janitorial	$677,292	$688,879	$717,010	$39,718	5.9%	$1,886.87
5310 Pest Control	$50,413	$47,095	$49,415	-$998	-2.0%	$130.04
5320 Trash Removal	$64,362	$61,740	$64,550	$189	0.3%	$169.87
5330 Elevator Contract	$217,180	$217,799	$225,861	$8,682	4.0%	$594.37
5340 Fire & Life Safety	$745,783	$686,391	$692,402	-$53,381	-7.2%	$1,822.11
5350 Security	$572,448	$544,937	$555,148	-$17,301	-3.0%	$1,460.91
5360 Electricity - Common	$563,513	$537,804	$545,354	-$18,159	-3.2%	$1,435.14
5370 Gas - Common	$121,089	$118,773	$125,422	$4,333	3.6%	$330.06
5380 Water & Sewer	$626,591	$632,088	$649,314	$22,723	3.6%	$1,708.72
5390 Telephone/Internet	$204,040	$195,988	$196,365	-$7,675	-3.8%	$516.75
5400 Advertising	$257,357	$244,334	$252,906	-$4,451	-1.7%	$665.54
5410 Resident Events	$807,952	$777,508	$791,740	-$16,212	-2.0%	$2,083.53
5420 Office Supplies	$124,252	$119,921	$121,591	-$2,660	-2.1%	$319.98
5430 Legal & Professional	$609,943	$589,846	$626,842	$16,900	2.8%	$1,649.59
5440 Accounting & Audit	$673,069	$676,365	$715,139	$42,070	6.3%	$1,881.95
5450 Licenses & Permits	$413,257	$416,598	$434,002	$20,746	5.0%	$1,142.11
5460 Management Fee	$552,914	$536,300	$556,889	$3,975	0.7%	$1,465.50
5470 Property Insurance	$679,964	$705,172	$725,026	$45,062	6.6%	$1,907.96
5480 Real Estate Taxes	$366,028	$352,062	$376,323	$10,295	2.8%	$990.32
5490 Asset Management Fee	$352,945	$353,173	$376,573	$23,628	6.7%	$990.98
5500 Replacement Reserves	$120,664	$113,618	$115,464	-$5,201	-4.3%	$303.85
5510 Roof Repairs	$105,912	$108,476	$111,583	$5,671	5.4%	$293.64

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Operating Performance

Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. The going-in capitalization rate of 7.24% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $447,000 or approximately 21.46 per square foot, with real estate taxes representing the largest line item. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Effective gross income for the trailing period was $401,000, representing a 9.9% increase over the prior year. Resident turnover has averaged 3.5% annually with renewal retention above 91.1%.

The going-in capitalization rate of 7.15% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Operating expenses totaled $464,000 or approximately 25.21 per square foot, with real estate taxes representing the largest line item.

Leasing and Marketing

Average in-place rent is $2,106 per month against an average unit size of 823 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 8 hours. Collections for the period were 94.4% of billed charges, with bad debt of 6.2% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 6.3% annually with renewal retention above 96.6%. Collections for the period were 94.0% of billed charges, with bad debt of 4.3% of gross potential income.

Valuation Discussion

Average in-place rent is $2,106 per month against an average unit size of 823 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. Resident turnover has averaged 5.0% annually with renewal retention above 93.4%.

Resident turnover has averaged 3.7% annually with renewal retention above 89.2%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 7.36x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.88% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses.

Management Commentary

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 41 hours. Collections for the period were 90.2% of billed charges, with bad debt of 5.9% of gross potential income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$659,709	$610,112	$634,198	-$25,511	-3.9%	$1,668.94
5010 Loss to Lease	$147,716	$148,009	$149,651	$1,935	1.3%	$393.82
5020 Vacancy Loss	$297,692	$276,665	$294,060	-$3,632	-1.2%	$773.84
5030 Concessions	$154,618	$157,004	$157,949	$3,332	2.2%	$415.66
5040 Bad Debt	$668,309	$720,514	$741,709	$73,401	11.0%	$1,951.87
5050 Late Fees	$733,125	$724,700	$734,173	$1,048	0.1%	$1,932.04
5060 Utility Reimbursements	$193,628	$189,281	$192,436	-$1,192	-0.6%	$506.41
5070 Parking Income	$653,822	$651,896	$656,156	$2,335	0.4%	$1,726.73
5080 Application Fees	$609,334	$653,271	$682,573	$73,239	12.0%	$1,796.25
5090 Pet Rent	$256,641	$243,385	$259,750	$3,108	1.2%	$683.55
5100 Laundry Income	$695,654	$718,780	$757,467	$61,813	8.9%	$1,993.33
5110 Cable/Internet Revenue	$465,452	$446,835	$464,927	-$525	-0.1%	$1,223.49
5120 CAM Reimbursements	$194,736	$181,486	$185,674	-$9,062	-4.7%	$488.62
5130 Tax Reimbursements	$138,123	$127,617	$129,460	-$8,663	-6.3%	$340.68
5140 Insurance Reimbursements	$48,658	$49,378	$51,189	$2,531	5.2%	$134.71
5150 Percentage Rent	$372,559	$368,768	$392,106	$19,547	5.2%	$1,031.86
5160 Misc. Income	$556,012	$568,656	$602,134	$46,122	8.3%	$1,584.56
5170 Payroll - Management	$455,422	$431,037	$454,789	-$633	-0.1%	$1,196.81
5180 Payroll - Leasing	$529,153	$521,557	$554,762	$25,609	4.8%	$1,459.90
5190 Payroll - Maintenance	$201,568	$213,543	$217,554	$15,986	7.9%	$572.51
5200 Payroll Taxes & Benefits	$312,902	$315,463	$328,975	$16,073	5.1%	$865.72
5210 Repairs - Plumbing	$261,524	$257,999	$258,403	-$3,121	-1.2%	$680.01
5220 Repairs - HVAC	$190,443	$183,205	$185,399	-$5,044	-2.6%	$487.89
5230 Repairs - Electrical	$342,424	$356,898	$360,766	$18,342	5.4%	$949.38
5240 Repairs - Appliances	$188,363	$187,588	$196,585	$8,222	4.4%	$517.33
5250 Painting & Decorating	$670,374	$630,317	$657,333	-$13,041	-1.9%	$1,729.82
5260 Flooring	$814,379	$777,605	$804,662	-$9,717	-1.2%	$2,117.53
5270 Make-Ready / Turnover	$689,363	$729,433	$742,183	$52,819	7.7%	$1,953.11
5280 Landscaping Contract	$482,849	$467,386	$467,855	-$14,994	-3.1%	$1,231.20
5290 Snow Removal	$529,317	$556,082	$587,895	$58,578	11.1%	$1,547.09
5300 Janitorial	$446,013	$428,879	$448,425	$2,411	0.5%	$1,180.07
5310 Pest Control	$722,786	$757,839	$796,379	$73,593	10.2%	$2,095.73
5320 Trash Removal	$574,499	$538,556	$567,744	-$6,755	-1.2%	$1,494.06
5330 Elevator Contract	$550,881	$544,893	$564,327	$13,446	2.4%	$1,485.07
5340 Fire & Life Safety	$183,482	$174,496	$183,835	$353	0.2%	$483.78
5350 Security	$526,398	$522,491	$543,355	$16,957	3.2%	$1,429.88
5360 Electricity - Common	$301,253	$281,691	$295,885	-$5,368	-1.8%	$778.64
5370 Gas - Common	$117,897	$120,991	$121,975	$4,078	3.5%	$320.99
5380 Water & Sewer	$633,683	$602,432	$640,036	$6,353	1.0%	$1,684.31
5390 Telephone/Internet	$164,573	$166,063	$170,470	$5,897	3.6%	$448.61
5400 Advertising	$251,282	$255,118	$270,183	$18,902	7.5%	$711.01
5410 Resident Events	$239,454	$237,278	$238,288	-$1,166	-0.5%	$627.07

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Summary and Notes

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Operating expenses totaled $271,000 or approximately 16.86 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 5.3% annually with renewal retention above 93.9%. Effective gross income for the trailing period was $399,000, representing a 2.3% increase over the prior year.

Leasing and Marketing

Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Resident turnover has averaged 2.1% annually with renewal retention above 92.7%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. Resident turnover has averaged 8.2% annually with renewal retention above 88.5%.

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